

 Masterclass Day 23

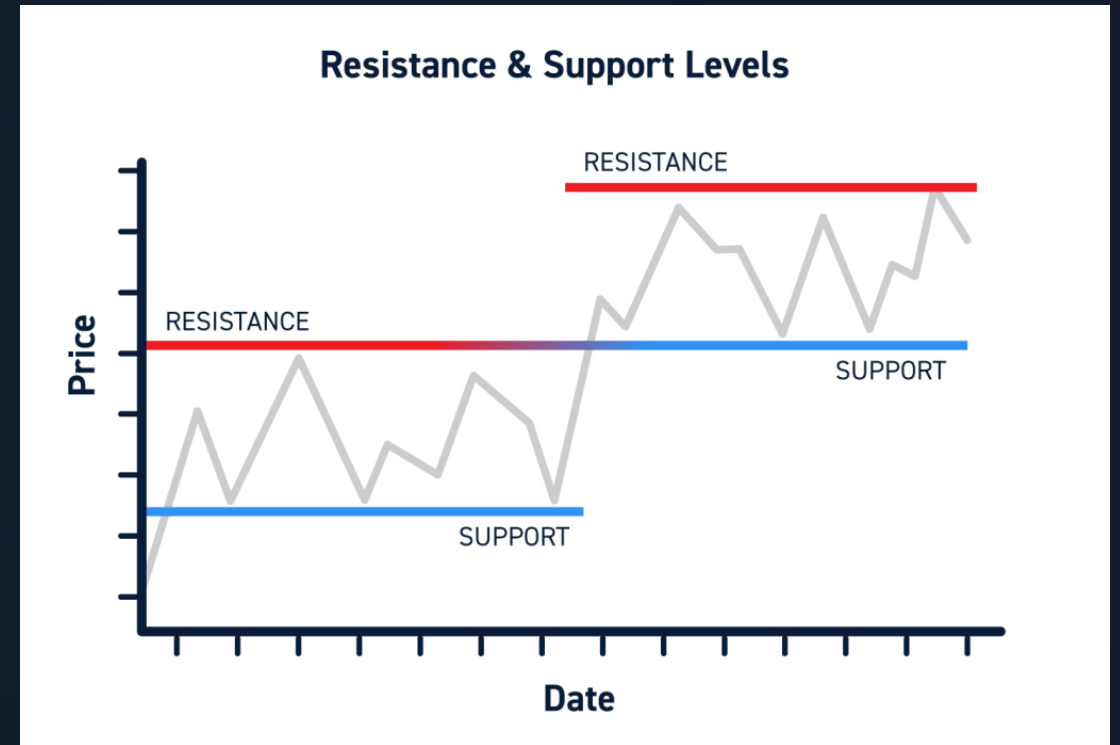
Support & Resistance

Finding the invisible battlegrounds where market buyers and sellers clash for dominance.

The Psychological Floor: Demand (Support)

Support is a price level where a downtrend is expected to pause due to a concentration of **buying interest (demand)**.

- » **The Floor:** As prices fall toward support, buyers step in because they perceive the asset as a bargain.
- » **Market Memory:** Previous swing lows often act as strong support because traders remember prices bouncing there before.
- » **Actionable Signal:** Traders often look to buy near support levels while placing stop losses just below them.

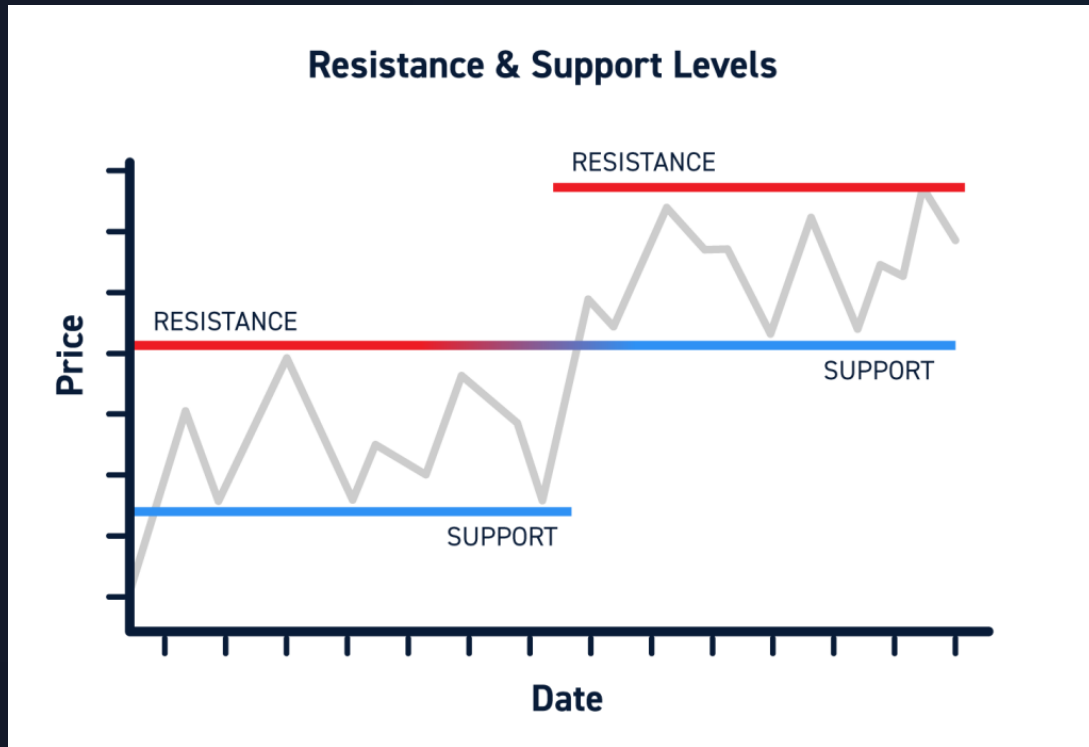


The Psychological Ceiling: **Supply (Resistance)**

Hitting the Ceiling

Resistance is a price level where an uptrend is expected to stall due to a concentration of **selling pressure (supply)**.

- » **Profit Booking:** Investors who bought lower rush to sell and take profits when prices reach previous peaks.
- » **Trapped Buyers:** Traders who bought at the previous top are eager to exit at break-even when prices return.
- » **Actionable Signal:** Often used as a natural target to book profits or initiate short positions.



Connecting Pivots:

Trendlines

A trendline is a dynamic, sloping line drawn across pivot highs (resistance) or pivot lows (support) to visually track market momentum.

Uptrend Lines: Formed by connecting consecutive higher lows. Acts as a moving floor where buyers consistently step in.

Downtrend Lines: Formed by connecting lower highs. Acts as a moving ceiling capping price recoveries.

Rule of Thumb: The more times a trendline is tested and holds, the more significant the eventual breakout becomes!



Escaping the Range: **The Breakout**

Breaking Resistance

A breakout occurs when price forcefully pushes above a major resistance level or below a support level, accompanied by high trading volume.

The Psychology: Sellers who trapped the price give up, and FOMO buyers rush in, fueling rapid directional momentum.

The Retest Rule

Amateurs jump in instantly on every breakout. Professionals wait for the **retest**.

Once broken, old resistance magically turns into new support! Watching price bounce off this former ceiling confirms a valid breakout.

Great Job on Day 23!

Tomorrow: Day 24 - Technical Indicators

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